7SSPN231 – Managing the UK Economy

Seminar 5

Instructions:

- *Form pairs*
- *There are 2 parts in the seminar*
- *In each part, you will first spend a few minutes working **individually** to examine the material and form your own view, and then work **in pairs** to compare notes, discuss and build a joint answer.*
- *Feel free to look at slides, lecture notes, Wikipedia, etc. if useful.*

Activity 1 (~25 minutes)

Step 1 (Individual – 10 mins): Look at the four figures on the next page showing

(a) the year-on-year growth rate of monthly industrial production[1],

(b) the monthly unemployment rate,

(c) the yearly CPI inflation rate, and

(d) the yearly trade balance (exports minus imports, as a % of GDP)

in the United Kingdom between 1951 and 1967.

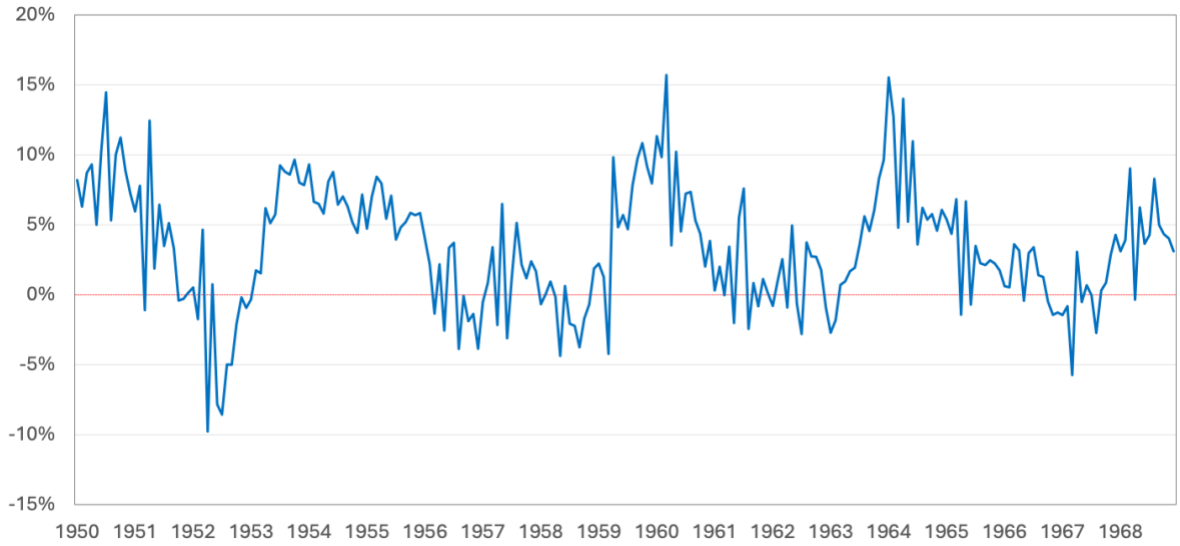
Working individually, mark the cycles you see in the data and note how the four indicators move together. Link the cycles to the main monetary and fiscal policy actions of the period, reflecting on *mutual influence*s between economic conditions and macroeconomic policy.

Step 2 (In Pairs – 8 mins): Compare notes with your partner. Then discuss: how do these economic indicators relate to fiscal and monetary policy actions? Discuss how the main fiscal and monetary policy actions of this period were at the same time a *response to* and a *determinant of* the movements in economic activity, unemployment, inflation and the trade balance.

Step 3 – General discussion – share with the class (~8mins)

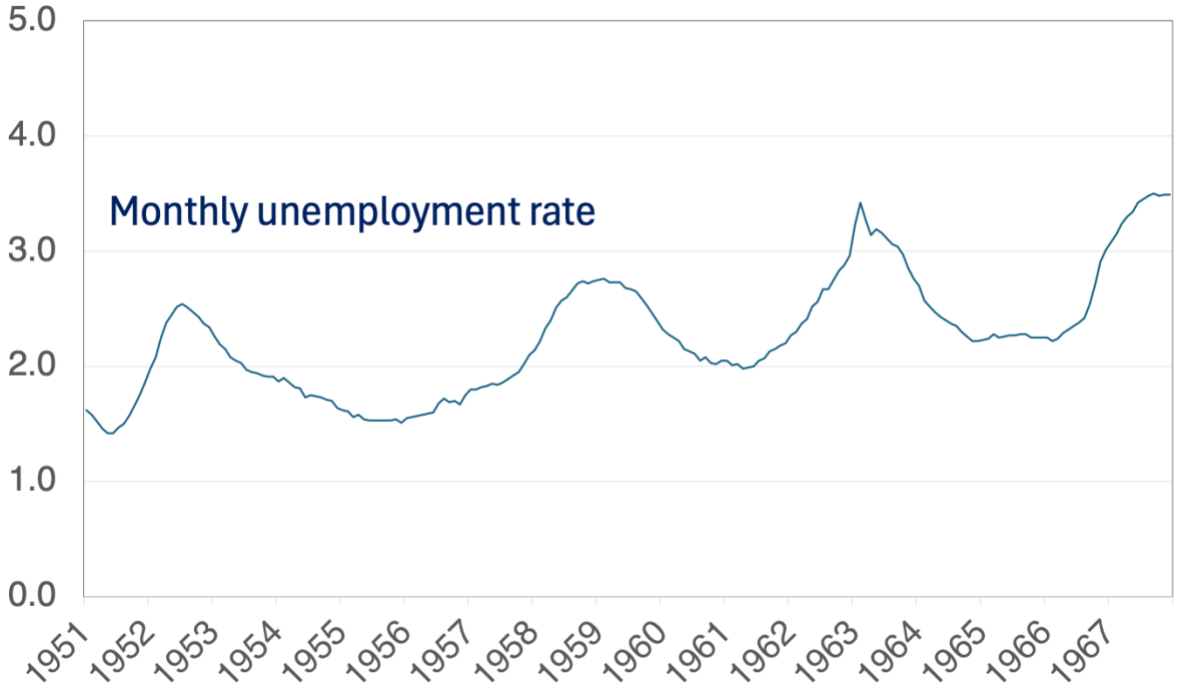
[1] The year-on-year growth rate is defined as the percentage change over the same month of the previous year. For example, the data point for January 1950 is the percentage change between January 1949 and January 1950.

A) UK monthly industrial production, year-on-year growth, Jan 1950-Dec 1967



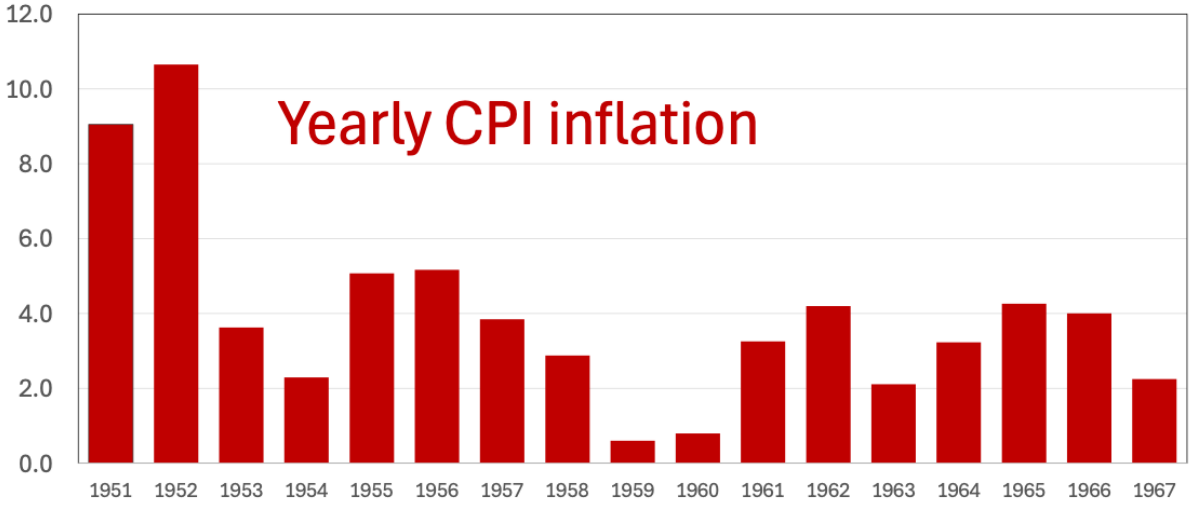
Source: Bank of England, 'A millennium of macroeconomic data'

B) UK monthly unemployment rate, Jan 1951-Dec 1967



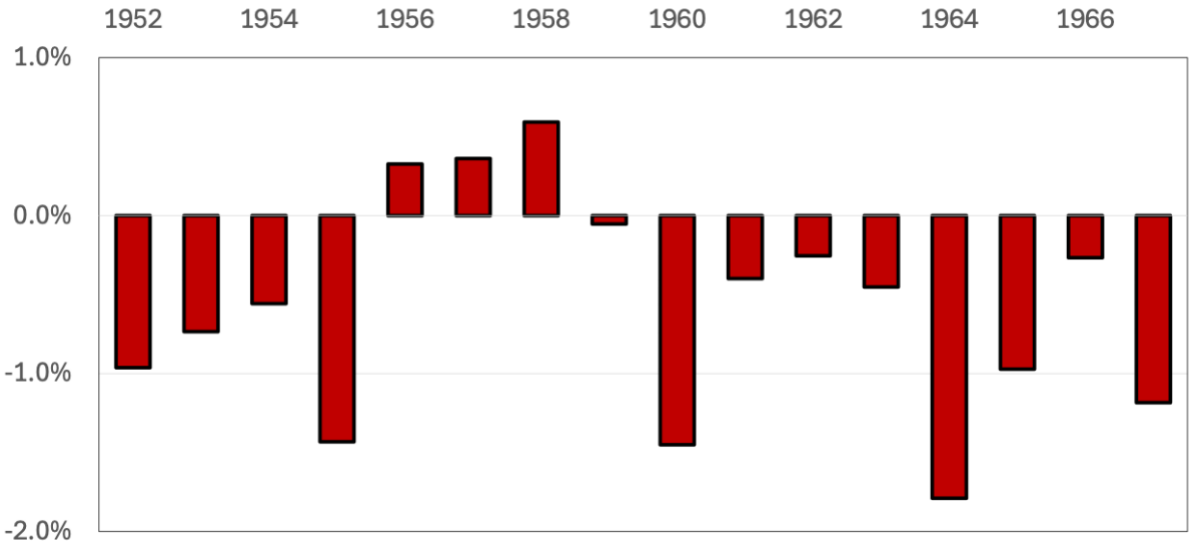
Source: Bank of England, 'A millennium of macroeconomic data'

C) Yearly CPI inflation, 1951-1967



Source: Bank of England, 'A millennium of macroeconomic data'

D) Trade balance (exports minus imports) as % of GDP, 1951-1967



Source: Bank of England, 'A millennium of macroeconomic data'

(second question on the next page)

Activity 2 (~25 minutes)

Step 1 (Individual – 8 mins): Read pages 25 to 29 of Kynaston's history of the Bank of England available on Keats and provided to you as a printed copy. Specifically, from the second paragraph of the first page in the excerpt ("The question during 1964…") to the first paragraph of the last ("…where none had shown themselves."). As you read, underline passages that help answer the three questions below.

Step 2 (In Pairs – 10 mins): Discuss what you read with your neighbour. In particular:

a. put the events described in the text in macroeconomic context
b. what gives rise to the tensions between politics and finance that the Cromer-Wilson "historical stand-off" reveals?
c. what does this suggest about the Bank-Treasury relation and the post-nationalisation arrangements?

Step 3 – General discussion – share with the class (~8mins)